

Environmental Jurisprudence

by Sophia



WHAT'S COVERED

In this lesson, you will begin to learn more about the negative and positive effects corporations can have on the natural environment. Specifically, this lesson will cover:

1. Does the Environment Have Rights?



BEFORE YOU START

Recall that corporate personhood is the legal doctrine holding that a corporation, separate and apart from the people who are its owners and managers, has some of the same legal rights and responsibilities enjoyed by natural persons (physical humans), based on an interpretation of the word “person” in the Fourteenth Amendment. The generally accepted constitutional basis for allowing corporations to assert that they have rights similar to those of a natural person is that they are organizations of people who should not be deprived of their rights simply because they act collectively. Thus, treating corporations as persons who have legal rights allows them to enter into contracts with other parties and to sue and be sued in a court of law, along with numerous other legal rights.

Should the environment be considered the legal equivalent of a person, able to sue a business that pollutes it? Should environmental advocates have been able to file a lawsuit against BP (formerly British Petroleum) on behalf of the entire Gulf of Mexico for harm created by the 2010 Deepwater Horizon oil spill, which (as of 2023) remains the largest and most widespread ocean oil spill in the history of the global petroleum industry? The Deepwater Horizon spill affected not only thousands of businesses and people, but also the entirety of the Gulf of Mexico, which will suffer harm for decades. Should the Gulf of Mexico have legal standing to sue?

In 1992, Cormac Cullinan’s *Wild Law* proposed **earth jurisprudence**, the belief that the government had the right and obligation to protect the environment. While this concept has not been accepted or affirmed by U.S. courts, there are examples of other countries doing so. Ecuador was the first country to officially recognize the concept. The country rewrote its Constitution in 2008, and it includes a section entitled “Rights for Nature.” It recognizes nature’s right to exist, and people have the legal authority to enforce these rights on behalf of the ecosystem, which can itself be named as a litigant in a lawsuit.

According to earth jurisprudence advocates, officially recognizing the legal status of the environment is necessary to preserve a healthy planet for future generations, in particular because of the problem of **invisible pollution**, or discreet (and often illegal) dumping or burning of toxic materials. Businesses that pollute the environment often hide what they are doing in order to avoid getting caught and facing economic, legal, or social consequences. The only witness may be Earth itself, which experiences the harmful impact of their invisible actions. Many believe the environment should have the right not to be secretly polluted in the dead

of night, and Earth should have rights at least equal to those of corporations.



TERMS TO KNOW

Earth Jurisprudence

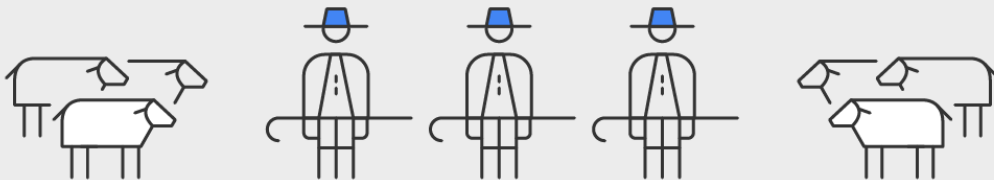
The government's ability to protect the environment and effectively regulate businesses that pollute.

Invisible Pollution

Discreet (and often illegal) dumping or burning of toxic materials.

2. The Tragedy of the Commons

The concept of earth jurisprudence is tied indirectly to the economic theory of the “tragedy of the commons,” a phrase derived from British economist William Forster Lloyd, who, in the mid-nineteenth century, used a hypothetical example of unregulated grazing on common land to explain the human tendency to act independently, putting self-interest first without regard for the common good of all users. This is called **the tragedy of the commons**.



BIG IDEA

Imagine a small village with a population of sheep herders. The village has an abundant greenery that is not owned by any individual, but by the town itself. Members of the community are free to use it, so each day the shepherds take their flocks to graze there. Over time, the green space starts to decline due to overgrazing. None of the individual shepherds have any motivation to stop—they know the others will continue, as will the decline of the meadow. So, they each continue to do so until the meadow is destroyed.

This scenario has global implications in considering the planet's resources, the long-term damage done by exploiting those resources, and the lack of incentives for anyone to moderate their behavior.



REFLECT

Have you witnessed the tragedy of the commons at a small level, such as coworkers quickly demolishing a plate of brownies well before lunchtime? Perhaps each person eats one before they really want one, knowing they go fast. If everyone waited, however, they might be around later in the afternoon when they would be more appreciated.

The theory was later popularized by ecologist and philosopher Garrett Hardin, who tied it directly to environmental issues. In other words, when it comes to natural resources, people generally use as much of a free resource as they want, without regard for the needs of others or for the long-term environmental effects. In fact, many would argue that curbing their own behavior won't do any good, because the others will

continue to deplete the resources.

As a way of combating the tragedy of the commons, Cullinan and others have written about the concept of earth jurisprudence, which includes the following tenets:

The Earth and all living things that constitute it have fundamental rights, including the right to exist, to have a habitat or a place to be.

Humans must adapt their legal, political, economic, and social systems to be consistent with the fundamental laws or principles that govern how the universe functions.

Human acts, including acts by businesses that infringe on the fundamental rights of other living things, violate fundamental principles and are therefore illegitimate and unlawful.



LEARN MORE

You can read the entire list here: www.ewg.org/news-insights/news/17-principles-environmental-justice

The solution for the tragedy of the commons in the original scenario would be for rules that granted limited access to each shepherd and somebody to enforce the rule. Similarly, environmental advocates believe the government has both a right and an obligation to ensure that businesses do not overuse any resource, and to mandate adequate environmental protection when doing so. In addition, fees may be assessed for using up a natural resource, such as taxes on the removal of nonrenewable resources like oil and gas, or deposits paid for possible cleanup costs after projects have been abandoned. As part of the growing acceptance of earth jurisprudence, several nonprofit educational organizations and NGOs have become active in both lobbying and environmental litigation. One such organization is the Center for Earth Jurisprudence (housed at the Barry School of Law in Orlando), a nonprofit group that conducts research in this area.



TERM TO KNOW

The Tragedy of the Commons

The depletion of shared natural resources when individuals have no motivation to consider long-term effects or damages.

3. Environmental Economics and Policy

At odds with earth jurisprudence is the principle of free enterprise. Many politicians and business leaders believe that free enterprise is the main reason for the nation's prosperity over the past two hundred years and the key to its future success. Free enterprise was very effective in facilitating the economic development of the United States, but it is equally true that this could not have happened without the country's wealth of natural resources like oil, gas, timber, water, and many others. When we consider the environment and the role of sustainability, the question is not whether our system works well with an abundance of natural resources. Rather, we should ask how well it will work in a nation, indeed in a *world*, where such resources are limited.

Does business, as the prime user of these resources, owe a debt to society? "It's an important question," according to Andrew Winston, author and consultant on environmental and social challenges, "but one that implies business should do the socially responsible thing out of a sense of duty. This idea is a distraction. Sustainability in business is not about philanthropy, but about profitability, innovation, and growth. It's just plain good business."

On the other hand, Bart Victor, professor at Vanderbilt University's Owen Graduate School of Management, wrote, "Business is far more powerful and deeply influential than any competing ideological force, political force or environmental force...business now has to see itself and its responsibilities and obligations in a new way."

Using deontological or duty-based reasoning, we might conclude that business does owe a debt to the environment. A basic moral imperative in a normative system of ethics is that someone who uses something must pay for it. In contrast, a more utilitarian philosophy might hold that corporations create jobs, make money for shareholders, pay taxes, and produce things that people want; thus, they have done their part and do not owe any other debt to the environment or society at large. However, utilitarianism is often regarded as a "here and now" philosophy, whereas deontology offers a longer-term approach, taking future generations into account and thus aligning more with sustainability.

IN CONTEXT

West Texas has seen a boom in oil and gas drilling due to the process of **fracking**. Fracking is short for hydraulic fracturing, which creates cracks in rocks beneath Earth's surface to loosen oil and gas trapped there, thus allowing it to flow more easily to the surface. Fracking has led to a greatly expanded effort to drill horizontally for oil and gas in the United States, especially in formations previously thought to be unprofitable, because there was no feasible way to get the fossil fuels to the surface. However, it comes with a significant downside. Fracking requires very heavy equipment and an enormous amount of sand, chemicals, and water, most of which must be trucked in. Traffic around Texas's small towns has increased to ten times the normal amount, buckling the roads under the pressure of a never-ending stream of oil company trucks. The towns do not have the budget to repair them, and residents end up driving on dangerous roads full of potholes. The oil company trucks are using a public resource, the local road system, often built with a combination of state and local taxpayer funds. They are obviously responsible for more of the damage than local residents driving four-door sedans to work. Shouldn't the businesses have to pay a special levy to repair the roads? Many think it is unfair for small towns to burden their taxpayers, most of whom are not receiving any of the profits from oil and gas development, with the cost of road repair. In fact, these towns usually see surges in costs of everything from rent to groceries but not in salaries outside the oil and gas industry. Fracking also causes the overuse and pollution of freshwater, spills toxic chemicals into the groundwater, and increases the potential for earthquakes due to the injection wells drilled for chemical disposal. Ultimately, as is often the case with issues stemming from natural resource extraction, local residents may receive a few short-term benefits from business activity related to drilling, but they end up suffering a disproportionate share of the long-term harm.

One solution is to impose a **Pigovian tax**, which is a fee assessed against private businesses for engaging in a specific activity (named for British economist A. C. Pigou, who first proposed it). If set at the proper level, the tax is intended as a deterrent to activities that impose a net cost on third parties, such as local residents. For example, Washington, Oregon, and California assess a **carbon tax**, that is, a "pay-to-pollute" system that charges a fee or tax to those who discharge carbon into the air. A carbon tax serves to motivate users of fossil fuels to switch to cleaner energy sources or to at least pay for the climate damage they cause, based on the amount of greenhouse gas emissions generated from burning fossil fuels. A proposal to implement a nationwide carbon tax system in the United States has been recommended by many organizations, including the Climate Leadership Council (CLC). Exxon Mobil, Shell, British Petroleum, and Total, along with other oil companies and a number of large corporations in other industries, recently announced their support for the

plan to tax carbon emissions put forth by the CLC.



THINK ABOUT IT

Do you think that taxing companies for the resources they use is ethical? If so, what kind of Pigovian Tax could mitigate the long-term effects of fracking on a local community? How would the money be collected, and how would it be best spent?

Would this “pay-to-pollute” method actually work? Will companies agree to repay the debt they owe to the environment? Michael Gerrard, the director of the Sabin Center for Climate Change Law at Columbia University Law School, said, “If a sufficiently high carbon tax were imposed, it could accomplish a lot more for fighting climate change than liability lawsuits” (Lederer, 2015). Initial estimates are that if the program were implemented, companies would pay more than \$200 billion a year, or \$2 trillion in the first decade, an amount deemed sufficient to motivate the expanded use of renewable sources of energy and reduce the use of nonrenewable fossil fuels.

But others are concerned that these costs would simply be passed on to consumers, while companies continue to pollute at will (Moseman & Knittel, 2022). But from an environmental standpoint, this would still encourage better practices as consumers try to minimize their own carbon footprint.



TERMS TO KNOW

Fracking

Short for hydraulic fracturing, which creates cracks in rocks beneath Earth’s surface to loosen oil and gas trapped there, thus allowing it to flow more easily to the surface.

Pigovian Tax

A tax levied against a business for engaging in a particular activity.

Carbon Tax

A tax levied against businesses for air pollution, to both discourage the practice and generate revenue to help with other environmental initiatives.



SUMMARY

In this lesson, you considered the basic question: **Does the environment have rights?** While some believe that the government can and should defend the environment as a “person” with legal rights, the way it does with corporations, others believe that this would hinder free enterprise and the economy. **The tragedy of the commons** speaks to a fundamental dilemma; as individuals, we often choose self-interest over community interest, and given our limited perspectives, we often focus on short-term goals over long-term goals. Economics is a study of supply and demand, but the environment is a finite resource that changes the equation. There are many approaches to **environmental economics and policy**. One is to levy taxes for environmental damage, or “pay to pollute,” to incentivize better practices and gather revenue to spend later on environmental cleanup.

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Climate Portal. climate.mit.edu/ask-mit/will-companies-pass-cost-carbon-tax-consumers



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